



MARKET MONITOR

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Global food markets are in the midst of an exceptionally eventful period in terms of both scale and scope. The recently reached US-China “phase-one” trade and investment agreement has fuelled expectations of a resumption of large US exports of agricultural products to China. However, continued geopolitical tensions and the rapid spread of a new coronavirus may impact many markets, agriculture included. For AMIS crops, global markets are likely to endure even more uncertainty because of unpredictable climatic conditions and extreme weather.

Markets at a glance

	From previous forecast	From previous season
Wheat	▼	▲
Maize	▲	▼
Rice	■	▼
Soybeans	■	▼

▲ Easing ■ Neutral ▼ Tightening

The **Market Monitor** is a product of the Agricultural Market Information System (AMIS). It covers international markets for wheat, maize, rice and soybeans, giving a synopsis of major market developments and the policy and other market drivers behind them. The analysis is a collective assessment of the market situation and outlook by the ten international organizations and entities that form the AMIS Secretariat.

Feature article

Forward curves and why they are important for supply and demand analysis

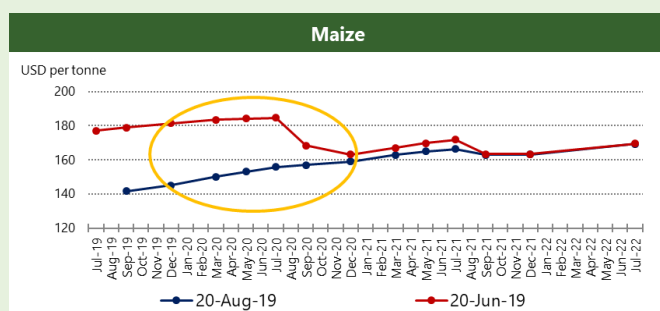
Forward curves represent a term structure of prices. They are constructed by connecting a line along the sequence of futures contract price quotations at a given reference point in time, which are plotted along the horizontal axis. These price quotations typically proceed from the spot or nearby futures month and extend forward about 18 to 24 months at fixed monthly intervals. For example, the contract months listed for the maize trading are March, May, July, September and December, repeating forward as market transactions occur in deferred months. The slope of the futures curve conveys information about the supply and demand of its underlying commodity and also transmits important indicators to commodity market participants along the supply chain, such as signals to buy, store or sell.

Forward curves displaying successively higher price quotations over time – called *contango* (also carry markets) - are upward sloping. These indicate a surplus supply situation relative to demand and relay a “buy” or “hold” signal to participants along the commodity supply chain.

Forward curves displaying successively lower price quotations over time - called *backwardation* (also inversion) – are downward sloping. These indicate a deficit supply situation relative to demand and relay a “sell” signal to participants along the supply chain. In agricultural markets which feature renewable commodities, forward curves often include both upward sloping and downward sloping configurations proceeding from harvest time surpluses to relative scarcity toward the end of the crop year.

Certain portions of the forward curves are commonly referred to as “spreads” and are quoted as the arithmetic difference between nearest and the furthest contract month. For example, the difference between the July and November soybean contracts of any one year is keenly watched as one of commodity markets’ most dynamic spreads. To illustrate, in 2013, the July/November spread displayed steep backwardation reaching a level of USD 132 per tonne as global demand exceeded supplies. Conversely, in 2018, the July/November spread declined from a small inverse to a USD 9 contango as the demand rate slowed amid abundant supplies.

In 2019, the maize market exhibited dynamic movement during the growing season between June 20 and August 20. As record spring rainfall threatened to reduce acreage and yields dramatically, the y/y spread between December 2019 and December 2020 spread reached a high point of USD 18.21 inversion in June. Following the USDA August crop report, which projected larger crops than private estimates, the spread declined to USD 18.01 contango by late August, moving more than USD 36 in total. (The orange oval encircles the Dec 19/Dec 20 spread snapshots of June 20 and August 20, 2019.)



The two forward curves plotted on the left represent the price structures of the maize futures market at two different points in time. Both forward curves were constructed with lines connecting price quotations of nearby and forward traded contracts concluded at the reference point.

World supply-demand outlook

- **Wheat** 2019 production still pointing to an all-time high but lowered since December, largely reflecting cuts in Australia and the Russian Federation.
- Utilization in 2019/20 raised slightly with upward corrections to feed use, which is likely to expand by 3.2 percent.
- Trade in 2019/20 (July/June) scaled up on expectation of larger purchases by several countries in Asia and faster pace in sales from the EU and Ukraine.
- Stocks (ending in 2020) still pointing to an increase from the previous season despite this month's downward revisions in several countries, especially major exporters due to higher domestic use and exports.

	FAO-AMIS			USDA		IGC	
	2018/19 est	2019/20 f'cast 5 Dec	6 Feb	2018/19 est	2019/20 f'cast 10 Jan	2018/19 est	2019/20 f'cast 23 Jan
Wheat							
Prod	731.5	766.4	763.3	731.5	764.4	733.1	761.1
Supply	600.1	632.4	629.7	600.0	630.8	601.7	627.5
Utiliz.	1,015.9	1,036.5	1,034.0	1,014.5	1,042.5	1,003.7	1,026.2
Trade	772.9	783.3	781.2	751.9	769.1	758.0	772.4
Stocks	747.8	758.3	759.1	736.5	754.4	738.6	754.1
	621.3	630.6	631.3	611.5	626.4	611.0	624.7
	168.2	172.0	174.0	174.9	181.7	168.8	174.6
	165.6	168.2	170.8	170.8	177.4	165.5	171.0
	270.7	278.2	274.3	278.1	288.1	265.1	272.1
	151.5	149.6	146.1	138.3	140.6	143.7	144.1

- **Maize*** production in 2019 lifted since December following several upward revisions; mostly in China but also the EU, the Russian Fed. and the US.
- Utilization in 2019/20 is seen to expand faster than anticipated earlier, reflecting stronger feed demand, especially in the Russian Federation, the US and Viet Nam.
- Trade forecast for 2019/20 (July/June) is now seen to approach previous season's record level, fuelled by stronger import demand than anticipated earlier.
- Stocks (ending in 2020) to contract from the previous season by 5.4 percent; less than previously forecast due to an upward adjustment in China.

	FAO-AMIS			USDA		IGC	
	2018/19 est	2019/20 f'cast 5 Dec	6 Feb	2018/19 est	2019/20 f'cast 10 Jan	2018/19 est	2019/20 f'cast 23 Jan
Maize							
Prod	1,116.4	1,126.8	1,132.7	1,122.5	1,110.8	1,129.1	1,111.3
Supply	859.2	869.4	871.9	865.1	850.1	871.8	850.5
Utiliz.	1,485.0	1,485.5	1,493.1	1,463.8	1,431.2	1,468.2	1,433.2
Trade	1,023.5	1,031.8	1,036.2	983.9	960.1	990.2	968.1
Stocks	1,136.6	1,140.0	1,146.0	1,143.4	1,133.4	1,146.3	1,150.4
	865.8	865.8	871.8	869.4	854.4	867.7	867.5
	166.2	163.7	165.4	171.9	172.3	164.6	168.4
	161.8	160.6	162.4	167.4	165.3	159.6	163.4
	360.5	339.5	341.0	320.4	297.8	321.9	282.8
	164.2	157.6	155.7	110.1	98.7	117.5	95.5

- **Rice** production in 2019 downscaled primarily along with historical revisions for Laos and Myanmar, planting cuts still envisaged to lower global output by 0.5 percent below the 2018 record.
- Utilization in 2019/20 still seen reaching a historical high, as large availabilities stimulate an expansion in per capita food use.
- Trade in 2020 downgraded further, mostly on lower than previously anticipated shipments by India and Thailand.
- Stocks (2019/20 carry-outs) trimmed, on expectations of somewhat more pronounced drawdowns by importers; conversely, aggregate reserves held by the major exporters raised to a five-year high.

	FAO-AMIS			USDA		IGC	
	2018/19 est	2019/20 f'cast 5 Dec	6 Feb	2018/19 est	2019/20 f'cast 10 Jan	2018/19 est	2019/20 f'cast 23 Jan
Rice							
Prod	514.9	515.0	512.1	499.2	496.7	500.4	499.3
Supply	369.6	371.6	368.6	350.7	349.9	351.9	352.5
Utiliz.	691.0	698.0	695.6	661.8	671.1	663.2	672.6
Trade	440.6	449.0	446.7	404.3	409.9	411.6	418.4
Stocks	509.1	516.8	515.7	487.4	494.0	489.9	495.5
	362.9	370.5	369.4	344.4	351.0	346.8	352.2
	44.2	46.6	45.9	44.9	46.0	42.7	44.1
	41.1	43.5	43.1	39.5	40.2	40.3	41.7
	183.5	181.6	181.2	174.4	177.1	173.3	177.1
	78.1	78.5	78.5	60.0	59.8	62.4	63.7

- **Soybean** 2019/20 production forecast unchanged, as upward revisions for Brazil and China are outweighed by lower forecasts for India, Canada and Argentina stemming from unfavourable weather conditions.
- Utilization in 2019/20 raised fractionally, with downward corrections for India offset by higher forecasts for China, where pig herd rebuilding is underway.
- Trade forecast for 2019/20 trimmed, as downward revisions in a number of countries compensate higher import forecasts for China.
- Stocks (19/20 carry-out) virtually unchanged amid upward adjustments in Brazil and lower forecasts for China and the US – confirming a steep year-on-year drop in global inventories.

	FAO-AMIS			USDA		IGC	
	2018/19 est	2019/20 f'cast 5 Dec	6 Feb	2018/19 est	2019/20 f'cast 10 Jan	2018/19 est	2019/20 f'cast 23 Jan
Soybeans							
Prod	364.3	342.5	342.3	358.3	337.7	360.8	341.9
Supply	348.3	325.5	324.2	342.3	319.6	344.8	323.9
Utiliz.	413.3	401.7	400.7	457.2	448.0	407.0	396.2
Trade	383.8	373.2	371.6	418.1	410.4	285.8	271.4
Stocks	353.2	356.5	356.8	343.6	350.1	352.7	360.0
	252.2	254.5	253.0	241.6	247.4	249.7	255.0
	150.4	150.9	150.0	149.2	149.2	151.6	151.9
	67.9	64.7	62.9	63.4	63.0	64.7	63.1
	58.4	45.4	45.4	110.3	96.7	54.3	36.2
	47.4	32.9	33.2	90.3	76.9	36.2	16.6

i Data shown in the second rows refer to world aggregates without China; world trade data refer to exports and world trade without China excludes exports to China.

To review and compare data, by country and commodity, across three main sources, go to <https://app.amis-outlook.org/#/market-database/view-and-compare>
Estimates and forecasts may differ across sources for many reasons, including different methodologies.

* The 2019/20 AMIS-FAO world maize production forecast includes southern hemisphere maize crops harvested in 2019 whereas IGC and USDA include southern hemisphere maize crops to be harvested in 2020 in their 2019/20 world production numbers.

For more information see Explanatory notes on the last page of this report.

Summary of revisions (FAO-AMIS) since the previous report

in thousand tonnes

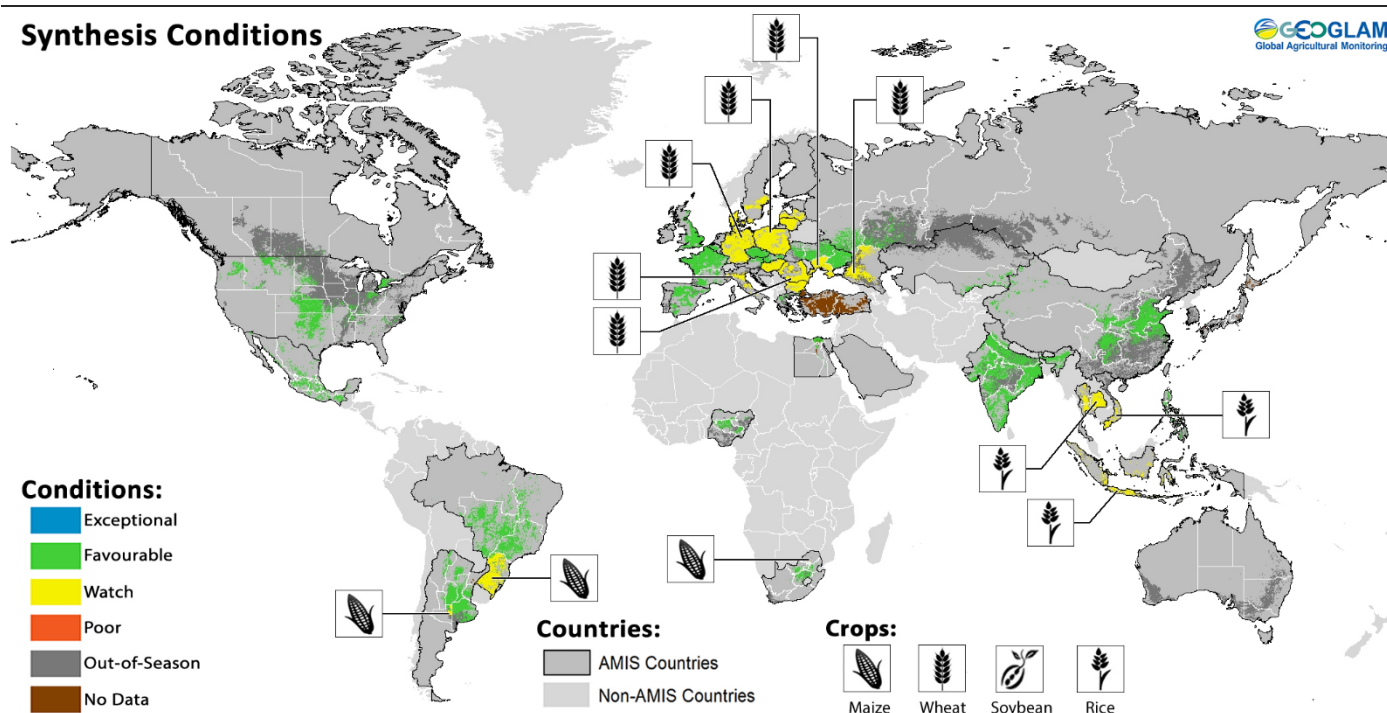
	WHEAT					MAIZE				
	Production	Imports	Utilization	Exports	Stocks	Production	Imports	Utilization	Exports	Stocks
WORLD	-2940	2025	687	2006	-3641	5940	1685	5979	1715	1541
Total AMIS	-2968	1025	311	2142	-4277	5821	1600	5397	1500	3110
Argentina	500	-	500	-	800	-	-	-	-	-
Australia	-1648	225	-766	-	-137	-	-	30	-	-
Brazil	-123	-	77	-	-200	-4	450	-2104	500	-
Canada	-144	-	6	-	-150	-706	-	-706	-	-
China Mainland	-407	-	-	-	-407	3370	-	-	-	3370
Egypt	-	-	-	-	-	-	-	-	-	-
EU	156	-	172	1000	-1000	1208	-	8	1200	-
India	-	-	-	-	-	-	-	-	-	-
Indonesia	-	-	-	-	-	-	-	-	-	-
Japan	-	-	-	32	-	-	-	-	-	-
Kazakhstan	-	-	-	-	-	-	-	-	-	-
Mexico	-	-	-20	-	-135	-	-	-	-	-
Nigeria	-	-	-	-	-	-	-	-	-	-
Philippines	-	-	-	-	-	-	-	-	-	-
Rep. of Korea	-	-	-	-	-	-	-	-	-	-
Russian Fed.	-1165	-	-	-	-1165	1000	-	1000	-	-
Saudi Arabia	-	-	-	-	-	-	-	-	-	-
South Africa	-208	150	-18	-40	-	177	-	177	-200	200
Thailand	-	-	-	-	-	-	-	-	-	-
Turkey	-	850	200	150	500	-	-	-	-	-
Ukraine	71	-	-	1000	-929	-	-	-	-	-
US	-	-	246	-	-1334	776	-	5842	-	-460
Viet Nam	-	-200	-87	-	-120	-	1150	1150	-	-

	RICE					SOYBEANS				
	Production	Imports	Utilization	Exports	Stocks	Production	Imports	Utilization	Exports	Stocks
WORLD	-2830	-652	-1080	-733	-415	-212	-860	323	-881	54
Total AMIS	-72	-295	1164	-1005	324	-12	-340	129	-541	249
Argentina	-	-	-	-	-	-300	-630	-100	-100	200
Australia	-	-	-	-	10	-	-	-	-	-
Brazil	3	-	-57	-	-	700	-	-400	100	1000
Canada	-	-	-	-	-130	-440	-	-90	-300	-50
China Mainland	212	-330	87	-	-400	1100	900	1800	-	-300
Egypt	-	-	-	-	-	-	100	90	-	30
EU	12	-	32	-	-	9	-	9	-	-
India	-	-	300	-400	300	-1550	-	-1550	-	-
Indonesia	-	-	-	-	-	-	-	-	-	-
Japan	-68	-	-48	-	-60	-	-	-	-	-
Kazakhstan	-	-	-	-	-	-	-	-	-	-
Mexico	-	-	-	-	-	-	-	-	-	-
Nigeria	-	-	-	-	-	-	-	-	-	-
Philippines	-	-	-	-	-	-	-	20	-	-
Rep. of Korea	-127	90	34	-	-20	-	-	-	-	-
Russian Fed.	-	-	10	20	-30	230	-	78	76	-54
Saudi Arabia	-	-70	-20	-	-10	-	-	-	-	-
South Africa	-	-	-	-	-	-	-	-	-	-
Thailand	-	-	580	-800	400	-	-	10	-	-
Turkey	-	-	-10	-	-10	-	-	-	-	-
Ukraine	-	-	-	-	-	19	-	355	-317	-
US	-103	15	63	75	-246	220	-130	360	-	-380
Viet Nam	-2	-	192	100	520	-	-580	-453	-	-197

Crop monitor

Crop conditions in AMIS countries (as of 28 January)

Synthesis Conditions



Crop condition map synthesizing information for all four AMIS crops as of 28 January. Crop conditions over the main growing areas for wheat, maize, rice, and soybean are based on a combination of national and regional crop analyst inputs along with earth observation data. **Only crops that are in other-than-favourable conditions are displayed on the map with their crop symbol.**

Conditions at a glance

Wheat - In the northern hemisphere, winter wheat conditions remain mixed particularly in parts of northern and eastern Europe, the Russian Federation, and Ukraine as an unusually dry and warm winter is leaving crops vulnerable to frost damage and drought in the spring.

Maize - In the southern hemisphere, the return of regular rains in January has improved conditions in Brazil and Argentina. In Mexico, conditions are favourable for both the

spring-summer and autumn-winter crops. In India, conditions are favourable for the Rabi crop.

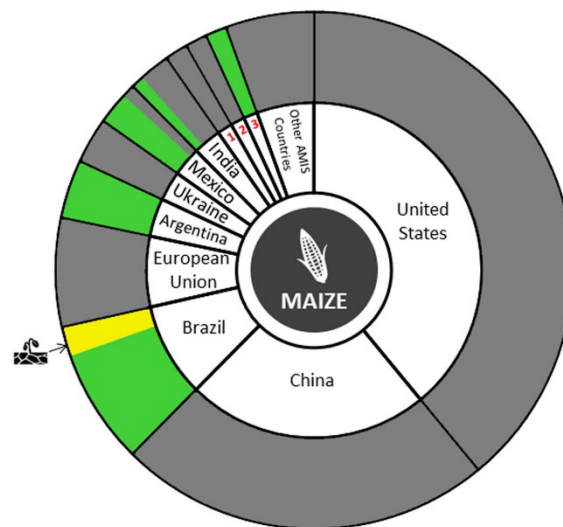
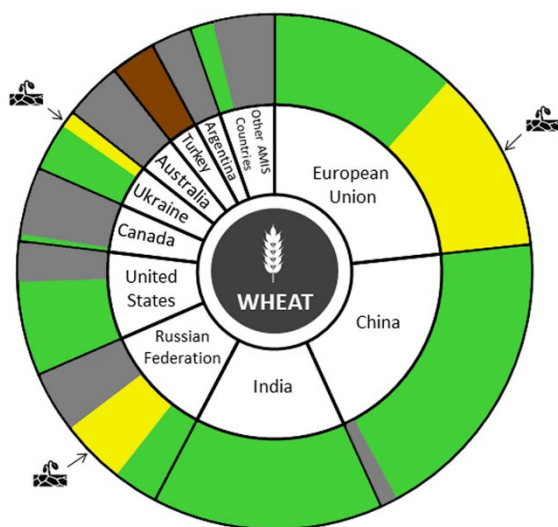
Rice – In India, transplanting of Rabi rice is continuing. In Southeast Asia, water shortages have led to mixed conditions for dry-season rice across Thailand and southern Viet Nam along with wet-season rice in Indonesia.

Soybeans - In the southern hemisphere, conditions are improving in Brazil and Argentina due to the return of regular rainfall in January.

Neutral ENSO & IOD

El Niño-Southern Oscillation (ENSO) conditions are neutral and are most likely to remain neutral through June 2020. During late 2019 a strong positive Indian Ocean Dipole (IOD) suppressed rainfall in Australia and enhanced rainfall in East Africa. The IOD is now in a neutral state and is forecast to remain neutral through June 2020.

Help us to improve the GEOGLAM
Crop Monitor reports by **taking this quick survey**

Conditions:**Drivers:**

Canada¹, Russian Federation², South Africa³

Wheat

In the **EU**, winter wheat conditions are generally favourable, however, the unusually mild and locally dry winter has reduced the hardening of the crops in north-eastern Europe, placing them under watch conditions due to their vulnerability to frost damage. In **Ukraine**, winter wheat conditions are generally favourable, albeit with areas of low soil moisture particularly in the south due to a dry autumn and a deficit of precipitation during December and January. In the **Russian Federation**, conditions are generally favourable for winter wheat in dormancy, however little to no snow cover in the southern district places crops vulnerable to frost damage. In **Kazakhstan**, winter wheat conditions remain favourable during dormancy. In **China**, winter wheat conditions are favourable in dormancy. In **India**, conditions are favourable as winter wheat sowing has completed across most of the country with an increase in total sown area compared to last year. In the **US**, winter wheat is under generally favourable conditions while in dormancy. In **Canada**, winter wheat is in dormancy under favourable conditions with an increase in total sown area compared to last year.

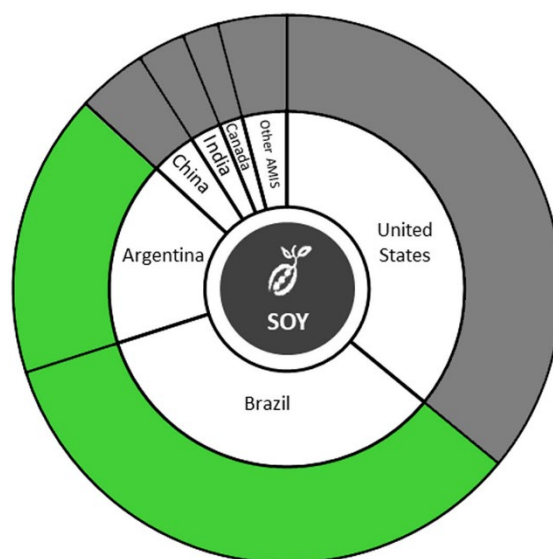
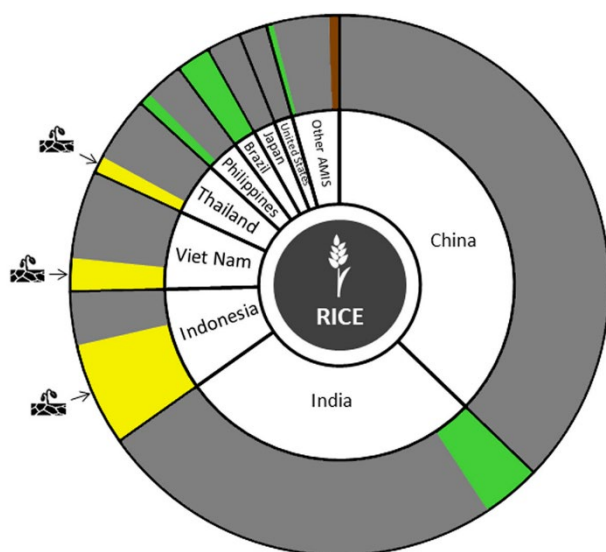
Maize

In **Brazil**, with the resumption of regular rains the spring-planted (smaller season) crop is under generally favourable conditions except in the south, where dry conditions in December impacted the crop during the critical reproductive stage. Sowing of the summer-planted (larger season) crop has begun in the main producing regions under favourable conditions. In **Argentina**, conditions have improved for both the spring-planted and summer-planted crops due to the resumption of rainfall. However, some areas of spring-planted crops have been stunted by the earlier cool dry conditions. In **Mexico**, conditions are favourable for the wrapping up of the spring-summer crop harvest and the sowing of the autumn-winter crop. In **India**, sowing of the Rabi crop is continuing under favourable conditions. In **South Africa**, conditions are generally favourable with widespread rains occurring during November through January.



Pie chart description: Each slice represents a country's share of total AMIS production (5-year average), with the main producing countries (95 percent of production) shown individually and the remaining 5 percent grouped into the "Other AMIS Countries" category. Sections within each country are weighted by the sub-national production statistics (5-year average) of the respective country and accounts for multiple cropping seasons (i.e. spring and winter wheat).

The late vegetative through to reproductive crop growth stages are generally the most sensitive periods for crop development.

Conditions:**Drivers:****Rice**

In **India**, transplanting of Rabi rice is continuing in the eastern parts of the country under favourable conditions with an increase in total sown area observed. In **Indonesia**, wet-season rice sowing is continuing for the fourth month, albeit with a reduction in total sown area due to continuing water shortages. Harvesting has begun with yields slightly lower than last year due to the drought. In **Viet Nam**, dry-season rice (winter-spring rice) is developing in the south under watch conditions because of an expected shortage of freshwater for irrigation due to saline intrusion. Sowing has not yet begun in the north. In **Thailand**, dry-season rice conditions are under watch due to the reduction of available water for irrigation, which is also expected to decrease the total sown area compared to last year. In the **Philippines**, conditions are generally favourable for dry-season rice in the vegetative stage. However, two typhoons in December brought some damage to central and southern parts of Luzon and parts of Visayas. In **Brazil**, conditions are favourable with high sunlight benefiting crops.

Soybeans

In **Brazil**, conditions are favourable across the country as harvesting begins thanks to a return of regular rainfall in January, which is providing the crops the chance to recover. An increase in total sown area is expected compared to last year. In **Argentina**, spring-planted and summer-planted crop conditions have improved due to the resumption of rainfall in January. Despite the recent rainfall, some areas of spring-planted crops were affected by the dry and low-temperature conditions while they were in the reproductive stage.

Information on crop conditions in non-AMIS countries can be found in the [GEOGLAM Early Warning Crop Monitor](#), published 6 February 2020

Policy developments

Rice

- On 17 December 2019, in order to stabilize prices, **Brazil** reduced the Transactions on Goods and Services tax (ICMS) for rice and other food products from 12 to 7 percent, effective from 1 January 2020.
- On 6 December 2019, **Japan** notified the WTO of Maximum Residue Limit (MRLs) for Dichlobentiaxox at 0.01 ppm in brown rice (G/SPS/N/JPN/701).
- On 18 December 2019, following a bio-safety assessment, the Department of Agriculture in **the Philippines** approved the *GR2E Golden Rice* for direct use as food, feed and for processing.
- On 12 December 2019, **the Philippines** notified the WTO of revised requirements for registration of rice importers and validity periods for the SPS import clearance. Rice consignments must be shipped out from the country of origin within the period specified in the import clearance and arrive no later than sixty days thereafter (See G/SPS/N/PHL/371/Add.1 and AMIS Market Monitor: December 2019).
- On 14 January, the Royal Irrigation Department in **Thailand** announced emergency measures in 18 drought-affected provinces, including need-based water supply and water-retention areas, advising farmers to curb rice production during the off-peak season.

Soybeans

- On 16 December 2019, **Brazil** and **China** finalised a protocol that sets processing related safety standards for Brazilian soymeal exporters.
- On 31 December 2019, the Ministry of Commerce in **China** relaxed customs regulations for soybean imports through the regions of Heilongjiang, Inner Mongolia, and Xinjiang, allowing soybean importers to use a single import licence to clear cargoes up to six times.

Biofuels

- On 8 January, the National Development and Reform Commission in **China** suspended the national 10 percent ethanol-blend mandate due to declining maize stocks and limited production capacity of the biofuel (see AMIS Market Monitor: October 2017).
- On 16 December 2019, **Indonesia** formally requested WTO dispute consultations with the European Union regarding measures adopted by the EU and certain member states in the

renewable energy sector relating to biofuels– notably the classification of palm oil as a 'high indirect land use change (ILUC)-risk' biofuel feedstock.

- On 19 December 2019, **US** Environmental Protection Agency finalized the volume requirements under the *Renewable Fuel Standard (RFS)* programme for 2020 for cellulosic biofuel (0.59 billion gallons), biomass-based diesel (2.43 billion gallons for 2020 and 2021), advanced biofuel (5.09 billion gallons), and total renewable fuel (20.09 billion gallons) (See AMIS Market Monitor: November 2019).
- On 20 December 2019, the **US** signed into law the Biodiesel Tax Credit Extension Act of 2019 (H.R.2089), extending the following tax provisions through 2022: the income tax credit for biodiesel and renewable diesel used as fuel, USD 1 per gallon tax credit for biodiesel mixtures, and the payments that are equivalent to the excise tax credit for biodiesel mixtures.

Across the board

- On 14 December 2019, the Ministry of Agriculture in **Argentina** announced raising export taxes from 25 to 30 percent for soybeans, soy oil and soymeal and from 7 to 12 percent for maize and wheat (Decree No. 37/2019). On 21 December, the Argentine senate approved the *Social Solidarity and Productive Reactivation Bill*, through which export taxes can be further increased to 33 percent for soybean and soybean products and to 15 percent for wheat and maize.
- On 11 December 2019, **Brazil** notified the WTO of the revised MRL for *Bifenthrin* in soybeans from 0.02 to 0.04 mg/kg. The final date to provide comments is 11 January (G/SPS/N/BRA/1600). On 7 and 13 January 2020, it notified MRLs at 0.01 mg/kg for *Fenoxaprop-P* and *Flumioxazin* in wheat (G/SPS/N/BRA/1604, G/SPS/N/BRA/1604). The final dates to provide comments for the respective measures are 15 February and 7 March 2020.
- On 30 December 2019, the Ministry of Agriculture in **China** approved one new GM soybean variety (Corteva Agriscience's DAS-81419-2) for import. Import permits for ten other GM crops were also renewed, including other soybean varieties and maize-based products. All approvals took effect from 2 December 2019 for three years. On 21 January, the Ministry of Agriculture also issued biosafety certificates for domestically-grown GM maize and soybean traits, which are both valid from 2 December 2019 to 2 December 2024.



AMIS Policy database

Visit the AMIS Policy database at: <https://app.amis-outlook.org/#/policy-database>

The AMIS Policy database gathers information on trade measures and domestic measures related to the four AMIS crops (wheat, maize, rice, and soybeans) as well as biofuels. The design of this database allows comparisons across countries, across commodities and across policies for selected periods of time.

Only AMIS participants are marked in **bold**.

- On 15 January, **China** and the **US** signed a wide-ranging Economic and Trade Agreement. As part of the deal, China undertook to increase imports of US agricultural products (including cereals, oilseeds and ethanol) by USD 32 billion higher than 2017's USD 24 billion baseline over 2020 and 2021 subject to prevailing market conditions and commercial considerations. China also undertook to import rice from certified US facilities while retaining the right to conduct on-site phytosanitary audits. As a significant outcome, the two parties have agreed to refrain from further tariff escalation.
- On 12 December 2019, the **EU** notified the WTO of stricter MRLs for *Chlorpyrifos* (revised from 0.05 to 0.01 ppm in maize and 0.5 to 0.01 ppm in wheat and rice) and for *Chlorpyrifos-methyl* (revised from 0.05 to 0.01 ppm in wheat and maize and from 3 to 0.01 ppm in rice) (G/SPS/N/EU/360).
- On 9 December 2019, the **French** Agency for Food, Environmental and Occupational Health and Safety decided to withdraw from the market 36 glyphosate-based products from the end of 2020. The 11 glyphosate-based products submitted for approval since January 2018 were also denied authorization.
- On 14 January, in view of grain shortages in the domestic market, the Ministry of Agriculture in the **Russian Federation** published a draft regulation concerning the introduction of an export quota until 30 June 2020 on wheat, rye, barley, oats and maize. The export quota of 20 million tonnes would apply to all countries outside the Eurasian Economic Union.
- On 21 January, the **Russian Federation** adopted a new Food Security Doctrine (Presidential Decree no. 20). To mitigate risks associated with deeper integration with Eurasian Economic Union (EAEU) levels, the policy seeks to upgrade rural infrastructure, strengthen food independence, ensure food safety and quality, preserve national diets while increasing the efficiency of state support to the agricultural sector. The Doctrine relies on domestic and international indicators of self-sufficiency as well as EAEU technical regulations. For example, the self-sufficiency ratio (i.e. share of domestic production to domestic consumption) was set at 95 percent for grains and 90 percent for vegetable oils. The text of the Decree underscores that the Doctrine takes account of FAO recommendations about limiting the share of imports and food inventories. Furthermore, the cultivation and importation of GM crops is prohibited. Food products based on gene-editing techniques will be restricted except for research purposes. The government was instructed to develop and implement an action plan within a three-month period to implement the provisions of the Doctrine.
- On 9 January, **Saudi Arabia** notified the WTO of various standards applied by the Gulf Cooperation Council (GCC)

with regards to general requirements, packaging, transport and storage of cereals and their derived products (G/SPS/N/SAU/417).

- On 6 January, under the *Farming Recovery Fund*, the Ministry of Agriculture in the **UK** allocated GBP 2 million (USD 2.6 million) to support farmers affected by property damage caused by floods in November. On 9 January, *The Direct Payments to Farmers (Legislative Continuity) Bill* was introduced, guaranteeing the same level of direct payments in 2020 as for 2019 set out in EU's Common Agricultural Policy. In addition, the Bill outlines an approach wherein sustainability factors would be taken into consideration in granting direct payments.

Trade Junctures

- The public transport strike in **France** disrupted rail and major export hubs such as the ports of Rouen and La Pallice, involving 450 000 tonnes of grain.

Stop Press

- On 25 November 2019, the Ministry of Finance in **China** announced CNY 61.6 billion (USD 8.9 billion) in subsidies for high-standard farmland and water conservation projects in 2020. By 2022, high-standard farmland area is expected to reach 1 billion mu (about 66.7 million hectares) for a total output grain representing 80 percent of national requirements.

International prices

International Grains Council (IGC) Grains and Oilseeds Index (GOI) and GOI sub-Indices

	Jan 2020 Average*	% Change M/M	% Change Y/Y
GOI	197	+ 1.7%	+ 0.9%
Wheat	195	+ 4.3%	- 2.7%
Maize	189	+ 4.0%	+ 2.4%
Rice	167	+ 3.2%	+ 3.4%
Soybeans	183	- 0.9%	+ 3.8%

*Jan 2000=100, derived from daily export quotations

Wheat

World wheat export prices posted solid gains in January, underpinned by good export demand and potential weather risks to 2020/21 crops. Exports by the EU, the US and Ukraine stayed significantly ahead of the year earlier pace. After strong early season sales, prices in Argentina were up sharply as the export surplus tightened. Values in Australia were given a boost by talk that China had secured up to 0.5 million tonnes of milling wheat. Logistical problems in France saw some export commitments switched to other EU origins, including to Germany and the Baltics, where export quotations climbed. News that the Russian Federation plans to set a maximum level of exports for the second half of the season only mildly buoyed prices at other origins, as the proposed volume was not seen as restrictive this season.

Maize

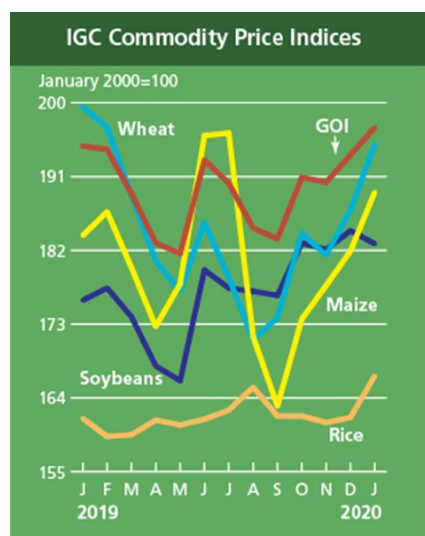
The IGC maize sub-Index strengthened by 4 percent in January, a fourth successive m/m increase, with average export prices moving further away from the 10-year lows recorded in September 2019. Gains were especially pronounced in Argentina, where an upturn in overseas demand coincided with a seasonal drop in availabilities. With nearby supplies in Brazil also tightening after a record pace of dispatches in recent months, spot quotations there were unavailable. Advances in US values were tied to optimism about possible sales to China under the phase one trade deal and hopes for improved export demand ahead of the next South American harvests. Prices in Ukraine were underpinned by solid buying interest, particularly from Asia.

Rice

Average rice prices advanced by 3 percent m/m, led by gains in Thailand. Despite weak buying interest, Thai values were underpinned by concerns that drought will curtail 2019/20 paddy output. White rice quotes strengthened in the US on tightening availabilities. Prices in Pakistan were also firmer. Quotations in India were supported by government paddy procurement, while seasonally tight supplies ahead of main crop harvesting underpinned prices in Viet Nam.

Soybeans

With weaker values in Brazil contrasting with firmer prices in the US and Argentina, the IGC GOI soybeans sub-Index was only slightly weaker in January. While positive developments in the trade relationship with China – culminating in the mid-January signing of the Phase one agreement – offered support to US values, recent pressure stemmed from worries about how China would meet its obligation to purchase more supplies. Additionally, concerns about geopolitical events remained a background influence. Along with prospects for a heavy 2019/20 crop, harvesting of which got underway, the fall in export prices in Brazil was linked to heightened worries about international demand. In Argentina, tight old crop availabilities contributed to modest gains in FOB values.



IGC commodity price indices					
	GOI	Wheat	Maize	Rice	Soybeans
(..... January 2000 = 100)					
2019 January	194.7	199.5	183.8	161.5	175.9
February	194.3	197.0	186.7	159.3	177.4
March	188.9	188.7	179.9	159.5	173.9
April	182.9	180.7	172.7	161.3	167.9
May	181.6	177.0	177.9	160.7	166.1
June	193.0	185.4	196.0	161.4	179.7
July	190.2	178.7	196.3	162.5	177.4
August	184.7	171.1	171.5	165.3	177.0
September	183.4	173.8	163.0	161.8	176.5
October	190.9	184.1	173.6	161.8	182.9
November	190.3	181.4	177.7	161.0	182.1
December	193.6	186.9	181.9	161.6	184.4
2020 January	197.0	194.9	189.1	166.7	182.8

Selected export prices, currencies and indices

Daily quotations of selected export prices (USD/tonne, 2018-2020)



Daily quotations of selected export prices

	Effective Date	Quotation (1)	Month ago (2)	Year ago (3)	% change (1) over (2)	% change (1) over (3)
	(. USD/tonne)					
Wheat (US No. 2, HRW)	30-Jan	232	237	240	-2.1%	-3.3%
Maize (US No. 2, Yellow)	31-Jan	171.2	167.6	168.5	2.1%	1.6%
Rice (Thai 100% B)	30-Jan	438	428	398	2.3%	10.1%
Soybeans (US No. 2, Yellow)	30-Jan	346	371	347	-6.7%	-0.3%

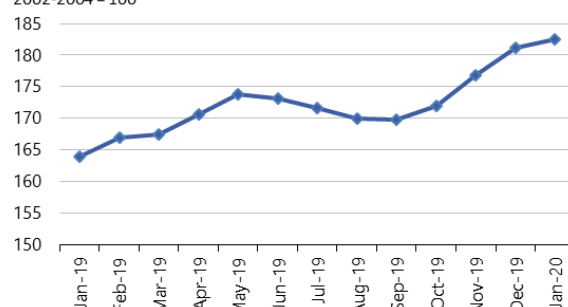
AMIS Countries' Currencies Against US Dollar

AMIS Countries	Currency	Jan 2020 Average	Monthly Change	Annual Change
Argentina	ARS	59.9	-0.2%	-60.3%
Australia	AUD	1.5	-0.2%	-4.0%
Brazil	BRL	4.1	-0.7%	-10.5%
Canada	CAD	1.3	0.8%	1.8%
China	CNY	6.9	1.3%	-1.9%
Egypt	EGP	15.9	1.2%	11.0%
EU	EUR	0.9	-0.1%	-2.8%
India	INR	71.2	-0.1%	-0.8%
Indonesia	IDR	13,722.6	2.0%	3.1%
Japan	JPY	109.3	-0.2%	-0.3%
Kazakhstan	KZT	379.1	1.3%	-0.1%
Rep. Korea	KRW	1,163.8	0.7%	-3.9%
Mexico	MXN	18.8	1.6%	2.0%
Nigeria	NGN	306.0	0.0%	0.3%
Philippines	PHP	50.8	-0.1%	3.0%
Russian Fed.	RUB	61.7	1.7%	7.5%
Saudi Arabia	SAR	3.8	0.0%	0.0%
South Africa	ZAR	14.4	0.2%	-3.9%
Thailand	THB	30.4	-0.6%	4.5%
Turkey	TRY	5.9	-1.0%	-10.6%
UK	GBP	0.8	-0.1%	1.4%
Ukraine	UAH	24.1	-2.4%	13.5%
Viet Nam	VND	23,171.4	0.0%	0.1%

FAO Food Price Index

Jan 2019 - Jan 2020

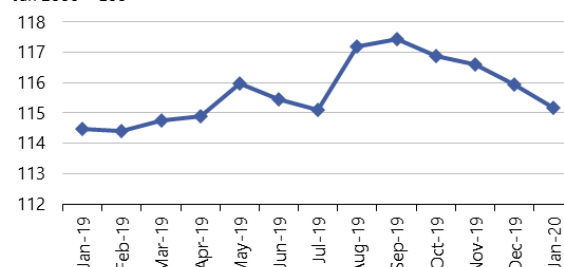
2002-2004 = 100



Nominal Broad Dollar Index

Jan 2019 - Jan 2020

Jan 2006 = 100



Source: US Federal Reserve

Futures market

Futures Prices – nearby

	Jan-20 Average	% Change	
		M/M	Y/Y
Wheat	208	4.2%	9.3%
Maize	152	2.1%	1.9%
Rice	293	4.9%	26.2%
Soybeans	341	0.6%	1.0%

Source: CME

Historical Volatility – 30 Days, nearby

	Monthly Averages		
	Jan-20	Dec-19	Jan-19
Wheat	15.7	21.0	16.7
Maize	23.7	18.8	17.5
Rice	13.0	11.7	12.6
Soybeans	10.9	12.1	13.1

Futures Prices

Prices for wheat, maize, soybeans and rice all rose m/m as the US and China signed Phase One of a long-awaited trade pact involving agricultural goods while analysts also noted isolated regional supply concerns. Wheat prices rose 4.2 percent m/m, hitting 17-month highs as USDA reported soft red wheat December 1 stocks at a twelve-year low and the Russian Federation proposed wheat export caps. Maize prices increased 2.1 percent on rising export projections of maize, ethanol and by-products (dried distillers' grain) as a result of the trade pact, even as maize export commitments tracked a seven-year low. Soybean prices advanced the least at 0.6 percent as traders expressed skepticism over achieving the large exports to China projected by US trade officials under current global market conditions, noting that an export surge had yet to materialize. Rice prices rose 4.9 percent m/m due to lower supplies in both the US and Thailand. In exogenous markets, the rebound in the USD index m/m following a year end sell-off, and a decline m/m in US crude oil prices had a negligible impact agricultural markets for most of January, as trade issues took precedence. However, fears of a global slowdown due to the spread of the coronavirus triggered a sharp sell-off across asset classes, including equities, crude oil and soybeans at month-end. Prices were all higher y/y by varying degrees at 9.3, 1.9, 1.0, and 26.2 percent respectively for wheat, maize, soybeans and rice.

Volumes and volatility

Trade volumes were higher m/m for wheat and maize but lower for soybeans, mostly tracking seasonal patterns. Historical and implied volatility registered mixed changes m/m for the three commodities, maintaining relatively low levels of price variability.

Basis levels and transport

Domestic basis levels edged up m/m for maize and soybeans. In Illinois, average quotes to local elevators were minus USD 1 per tonne for maize, and minus USD 7 per tonne for soybeans, each under the respective March futures prices with several locations quoting counter-seasonal large premiums to futures for maize. In Iowa, maize and soybean bids were minus USD 7 and minus USD

23 respectively (under the respective futures). In soft red wheat, bids for delivery to northern flour mills remained very firm quoted as high as USD 10 per tonne premium to March futures, which inverted over the May contract by month-end. Maize bids delivered to gulf were higher m/m at USD 22, soybean bids were steady at USD 19, while soft red wheat quotes were as high as USD 44 (per tonne premium over respective March futures). Barge freight for the Lower Illinois River declined m/m to around USD 17 per tonne, dipping below the three-year average. In export markets, the USDA reported total shipped and unshipped 2019/20 export commitments for wheat were 13 percent higher y/y (all wheat classes); for soybeans, they were 3 percent higher y/y; while for maize, total commitments were significantly lower at 37 percent below levels reported y/y.

Forward curves

Forward curves for maize and soybeans were little changed m/m as domestic and global supplies appeared adequate while demand was mostly lackluster, despite the US/China trade agreement. Wheat curves changed from a narrow contango (upward sloping) configuration to a slight inversion (downward sloping) in response to persistently high basis levels close to the delivery market area.

Investment flows

Managed money increased its net long positions in wheat, even as the CBOT soft red wheat contract maintained a large and anomalous premium to both domestic and global hard red wheat values. Managed money made only modest changes to soybeans and maize. Commercials maintained net short positions while swaps dealers maintained net long positions in all three commodities, the normal seasonal stance of both trader categories.

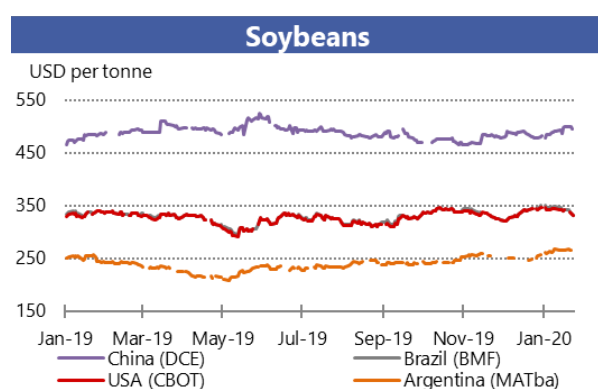
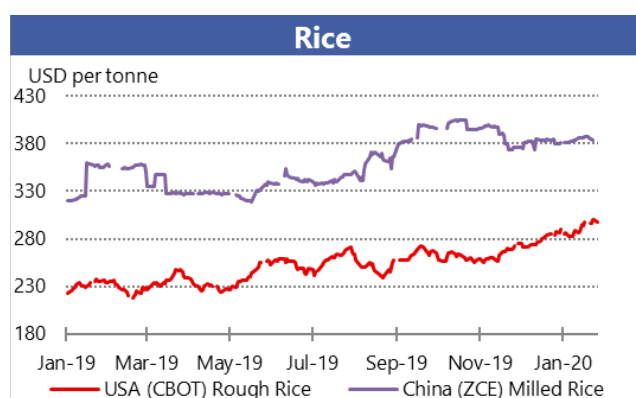
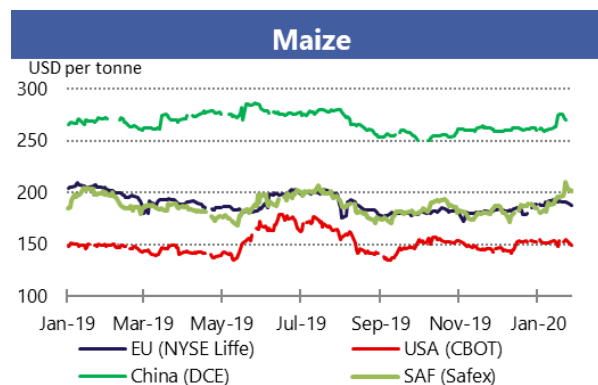
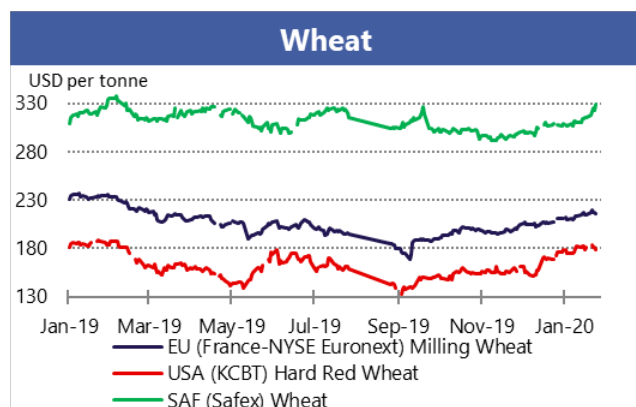


AMIS Market indicators

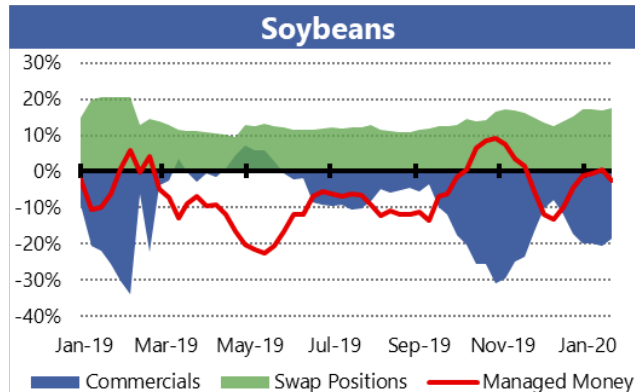
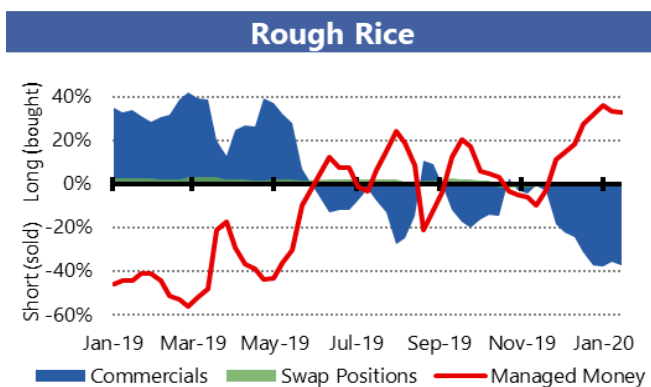
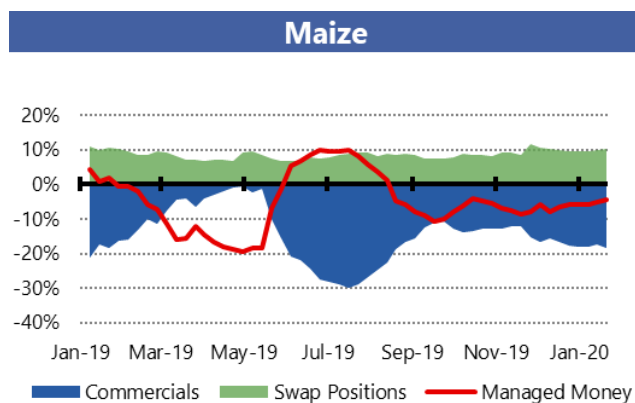
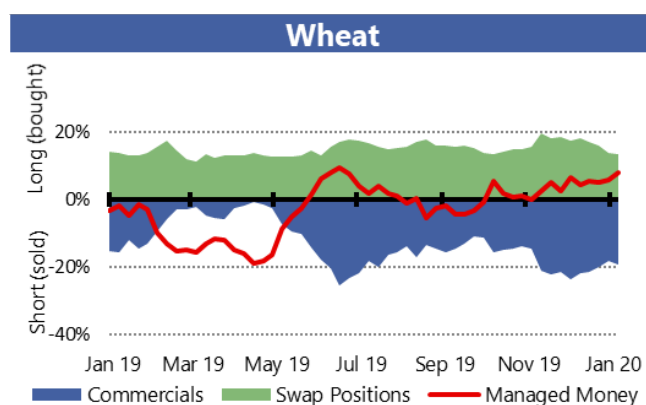
Some of the indicators covered in this report are updated regularly on the AMIS website. These, as well as other market indicators, can be found at: <http://www.amis-outlook.org/amis-monitoring/indicators/>

Market indicators

Daily quotations from leading exchanges - nearby futures

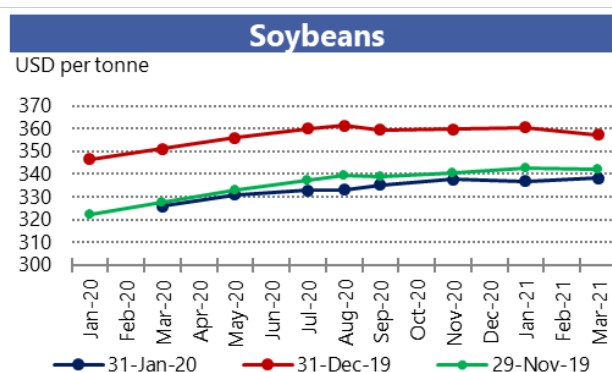
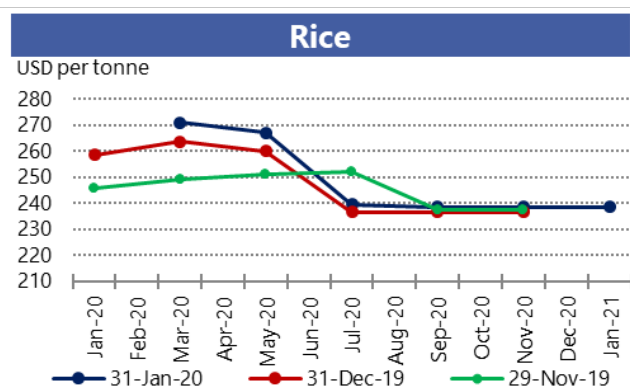
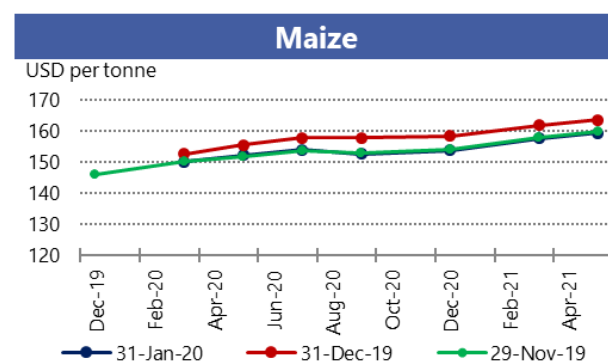
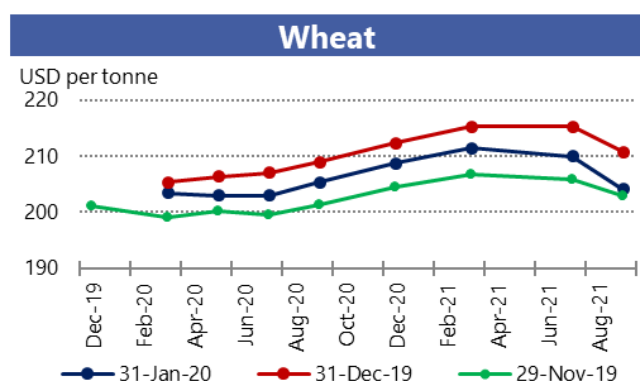


CFTC Commitments of Traders - Major Categories Net Length as percentage of Open Interest*

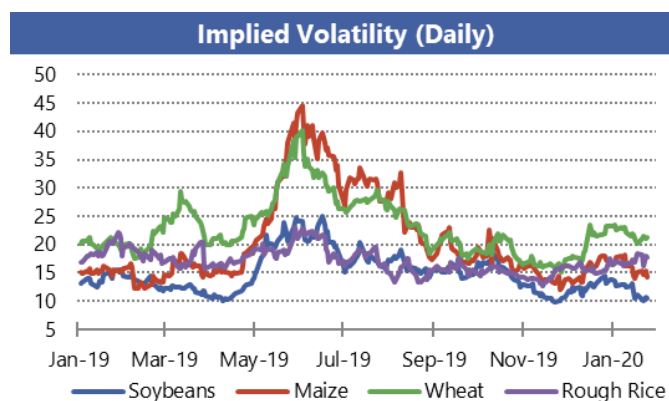
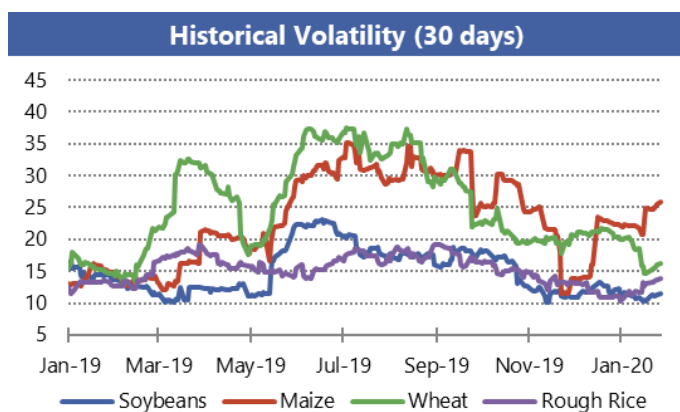


*Disaggregated Futures Only. Though not all positions are reflected in the charts, total long positions always equal total short positions.

Forward Curves



Historical and Implied Volatilities

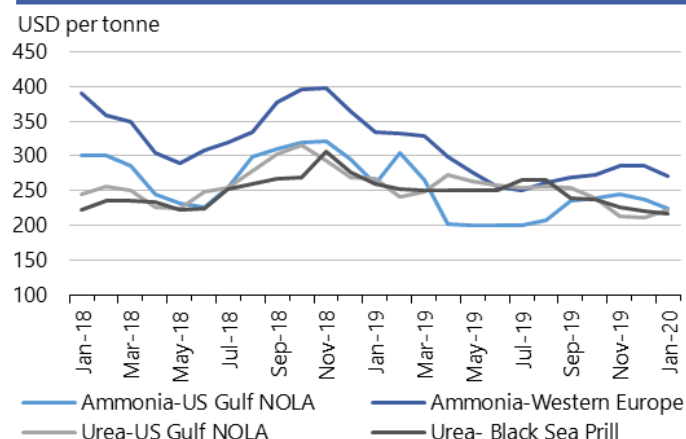


AMIS Market indicators

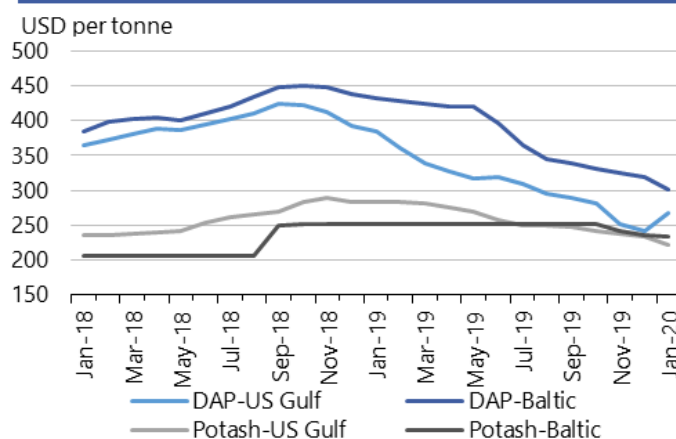
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Fertilizer outlook

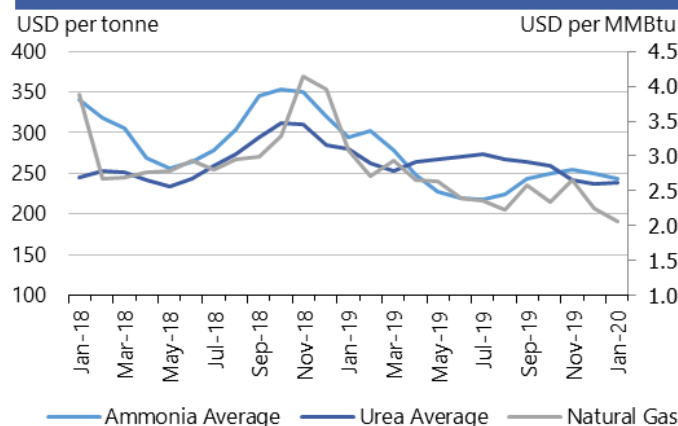
Ammonia and Urea (Spot prices)



Potash and Phosphate (Spot prices)



Ammonia Average, Urea Average and Natural Gas (Spot prices)



- **Natural gas prices** continued their fall since November due to a warmer than expected winter in the northern hemisphere.
- Despite global production shortfall, **ammonia prices** remained under pressure, partly due to weaker demand.
- **Urea prices** were relatively flat but below last year.
- Supply tightening in the US resulted in a steep recovery of **DAP** prices.
- **Potash prices** fell marginally, especially in the US, due to rising inventories.

	January average	January std. dev	% change last month*	% change last year*	12-month high	12-month low
Ammonia-US Gulf NOLA	225.0	-	-5.6%	-13.1%	305.0	200.0
Ammonia-Western Europe	271.8	5.5	-4.6%	-18.6%	333.0	250.0
Urea-US Gulf	223.0	5.6	5.2%	-16.6%	273.0	212.0
Urea-Black Sea	217.5	5.0	-1.1%	-16.3%	265.8	217.5
DAP-US Gulf	268.0	12.2	11.4%	-30.3%	360.0	241.0
DAP-Baltic	301.3	9.5	-5.4%	-30.3%	429.0	301.0
Potash-Baltic	234.0	-	-0.3%	-7.1%	252.0	234.0
Potash- US Gulf NOLA	222.5	7.1	-4.9%	-21.7%	284.0	223.0
Ammonia	243.6	1.3	-2.6%	-17.3%	303.1	218.4
Urea	238.3	3.2	0.7%	-15.0%	274.2	237.0
Natural Gas	2.1	0.1	-8.5%	-33.4%	2.9	2.1

All prices shown are in US dollars.

Source: Own elaboration based on Bloomberg

i Chart and tables description

Ammonia and Urea: Overview of nitrogen-based fertilizer prices in the US Gulf, Western Europe and Black Sea. Prices are weekly prices averaged by month.

Potash and Phosphate: Overview of phosphate and potassium-based fertilizer prices in the US Gulf, Baltic and Vancouver. Prices are weekly prices averaged by month.

Ammonia Average and Urea Average: Monthly average prices from Ammonia's US Gulf NOLA, Middle East, Black Sea and Western Europe were averaged to obtain Ammonia Average prices; monthly average prices from Urea's US Gulf NOLA, US Gulf Prill, Middle East Prill and Mediterranean were averaged to obtain Urea Average prices.

Natural Gas: Henry Hub Natural Gas Spot Price from ICE up to December 2017 and from Bloomberg (BGAP) from January 2018 onwards. Prices are intraday prices averaged by month. Natural gas is used as major input to produce nitrogen-based fertilizers

DAP: Diammonium Phosphate.

Ocean freight markets

Dry bulk freight market developments

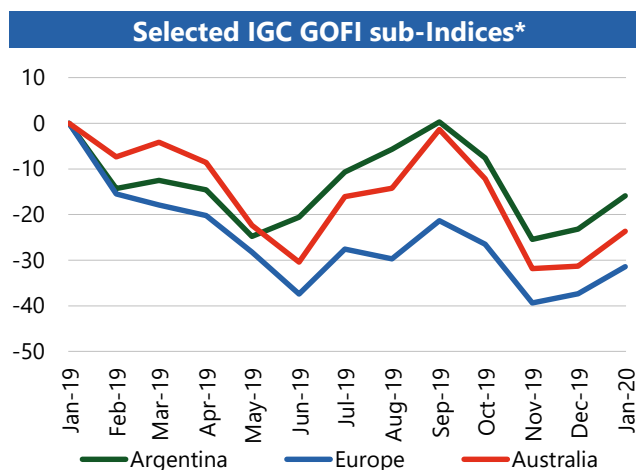
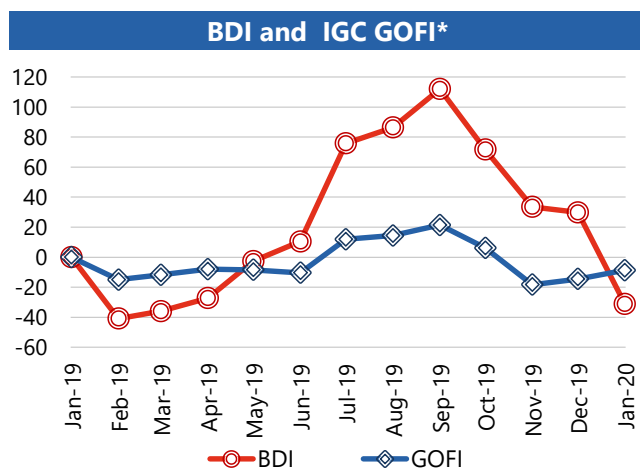
	January-20 average	Change m/m	Change y/y
Baltic Dry Index (BDI)*	732.3	-47.0%	-31.1%
<i>sub-Indices:</i>			
<i>Capesize</i>	822.5	-69.2%	-55.0%
<i>Panamax</i>	805.5	-39.7%	-21.1%
<i>Supramax</i>	578.2	-28.1%	-22.1%
Baltic Handysize Index (BHSI)**	397.2	-21.3%	-16.0%

Sources: Baltic Exchange, IGC.

*4 January 1985 = 1000. **23 May 2006 = 1000.

***1 January 2013 = 100.

	January-20 average	Change m/m	Change y/y
IGC Grains and Oilseeds Freight Index (GOFI)***	115.8	+6.8%	-8.7%
<i>sub-Indices:</i>			
<i>Argentina</i>	138.7	+9.5%	-15.9%
<i>Australia</i>	73.0	+11.1%	-23.7%
<i>Brazil</i>	147.3	+7.1%	+7.6%
<i>Black Sea</i>	123.1	+5.4%	-43.0%
<i>Canada</i>	97.2	+6.6%	-24.9%
<i>Europe</i>	96.9	+9.5%	-31.4%
<i>US</i>	98.6	+6.1%	-10.7%



*percentage change based on monthly average values

- Amid uncertainty surrounding International Maritime Organisation (IMO) 2020 regulations, which came into force on 1 January 2020, coupled with volatility in bunker prices due to tensions in the Middle East, average **Baltic Dry Index (BDI)** values declined by 47 percent m/m, to the lowest since April 2016.
- The **Capesize** sub-Index has lost around 70 percent of its value on average as weak demand for iron ore shipments against the backdrop of slowing steel trade pressured rates on all major routes.
- Panamax** values averaged more than one-third lower m/m. Weakness was chiefly tied to lacklustre activity in the Pacific Basin, which saw a build-up of tonnage. However, recent underpinning in the area stemmed from an uptick at the US PNW, where fresh interest for

maize shipments to Asia was noted.

- Likewise, generally thin trading and signs of overcapacity in most regions weighed on **Supramax** and **Handysize** earnings. Nevertheless, reluctance of vessel owners to reduce freight rates on some routes from the US Gulf and South America capped average losses in corresponding Baltic Indices at 28 percent and 21 percent, respectively.
- Contrary to movements in time-charter values, reflected by the BDI, voyage freight rates – which include bunker costs – edged higher last month, as evidenced by changes in the **IGC Grains and Oilseeds Freight Index (GOFI)**. Owing to relatively high prices for IMO 2020 compliant marine fuel, values across all key origins posted sizable gains.



Source: International Grains Council

Baltic Dry Index (BDI): A benchmark indicator issued daily by the Baltic Exchange, providing assessed costs of moving raw materials on ocean going vessels. Comprises sub-Indices for three segments: *Capesize*, *Panamax* and *Supramax*. The *Baltic Handysize Index* excluded from the BDI from 1 March 2018.

IGC Grains and Oilseeds Freight Index (GOFI): A trade-weighted composite measure of ocean freight costs for grains and oilseeds, issued daily by the International Grains Council. Includes sub-Indices for seven main origins (Argentina, Australia, Brazil, Black Sea, Canada, the EU and the USA). Constructed based on nominal HSS (heavy grains, soybeans, sorghum) voyage rates on selected major routes.

Capesize: Vessels with deadweight tonnage (DWT) above 80,000 DWT, primarily transporting coal, iron ore and other heavy raw materials on long-haul routes.

Panamax: Carriers with capacity of 60,000-80,000 DWT, mostly geared to transporting coal, grains, oilseeds and other bulks, including sugar and cement.

Supramax/Handysize: Ships with capacity below 60,000 DWT, accounting for the majority of the world's ocean-going vessels and able to transport a wide variety of cargos, including grains and oilseeds.

Explanatory Notes

The notions of **tightening** and **easing** used in the summary table of “Markets at a glance” reflect judgmental views that take into account market fundamentals, inter-alia price developments and short-term trends in demand and supply, especially changes in stocks.

All totals (aggregates) are computed from unrounded data. World supply and demand estimates/forecasts are based on the latest data published by FAO, IGC and USDA. For the former, they also take into account information provided by AMIS focal points (hence the notion “FAO-AMIS”). World estimates and forecasts produced by the three sources may vary due to several reasons, such as varying release dates and different methodologies used in constructing commodity balances. Specifically:

Production: Wheat production data from all three sources refer to production occurring in the first year of the marketing season shown (e.g. crops harvested in 2016 are allocated to the 2016/17 marketing season). Maize and rice production data for FAO-AMIS refer to crops harvested during the first year of the marketing season (e.g. 2016 for the 2016/17 marketing season) in both the northern and southern hemisphere. Rice production data for FAO-AMIS also include northern hemisphere production from secondary crops harvested in the second year of the marketing season (e.g. 2017 for the 2016/17 marketing season). By contrast, rice and maize data for USDA and IGC encompass production in the northern hemisphere occurring during the first year of the season (e.g. 2016 for the 2016/17 marketing season), as well as crops harvested in the southern hemisphere during the second year of the season (e.g. 2017 for the 2016/17 marketing season). For soybeans, the latter approach is used by all three sources.

Supply: Defined as production plus opening stocks by all three sources.

Utilization: For all three sources, wheat, maize and rice utilization includes food, feed and other uses (namely, seeds, industrial uses and post-harvest losses). For soybeans, it comprises crush, food and other uses. However, for all AMIS commodities, the use categories may be grouped differently across sources and may also include residual values.

Trade: Data refer to exports. For wheat and maize, trade is reported on a July/June basis, except for USDA maize trade estimates, which are reported on an October/September basis. Wheat trade data from all three sources includes wheat flour in wheat grain equivalent, while the USDA also considers wheat products. For rice, trade covers shipments from January to December of the second year of the respective marketing season. For soybeans, trade is reported on an October/September basis by FAO-AMIS and the IGC, while USDA data are based on local marketing years except for Argentina and Brazil which are reported on an October/September basis. Trade between European Union member states is excluded.

Stocks: In general, world stocks of AMIS crops refer to the sum of carry-overs at the close of each country's national marketing year. For soybeans, stock levels reported by the USDA are based on local marketing years, except for Argentina and Brazil, which are adjusted to October/September. For maize and rice, global estimates may vary across sources because of differences in the allocation of production in southern hemisphere countries.

For more information on AMIS Supply and Demand, please view [AMIS Supply and Demand Balances Manual](#).

Main sources

Bloomberg, CFTC, CME Group, FAO, GEOGLAM, IFPRI, IGC, Reuters, USDA, US Federal Reserve

AMIS - GEOGLAM Crop Calendar

Selected leading producers

Wheat		J	F	M	A	M	J	J	A	S	O	N	D
EU (21%)*	winter												
China (17%)	spring												
	winter												
India (13%)	winter												
US (8%)	spring												
	winter												
Russia (8%)	spring												
	winter												
Maize		J	F	M	A	M	J	J	A	S	O	N	D
US (35%)													
China (22%)	north												
	south												
Brazil (8%)	1st crop												
	2nd crop												
EU (7%)													
Argentina (3%)													
Rice		J	F	M	A	M	J	J	A	S	O	N	D
China (29%)	intermediary crop												
	late crop												
	early crop												
India (21%)	kharif												
	rabi												
Indonesia (9%)	main Java												
	second Java												
Viet Nam (6%)	winter-spring												
	summer/autumn												
	winter												
Thailand (4%)	main season												
	second season												
Soybeans		J	F	M	A	M	J	J	A	S	O	N	D
USA (31%)													
Brazil (29%)													
Argentina (18%)													
China (4%)													
India (3%)													

* Percentages refer to the global share of production (average 2013-15).

	Planting (peak)		Harvest (peak)
	Planting		Harvest
	Weather conditions in this period are critical for yields.		Growing period

2020 AMIS Market Monitor Release Dates

February 6, March 5, April 2, May 7, June 4, July 2, September 3, October 8, November 5, December 3

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